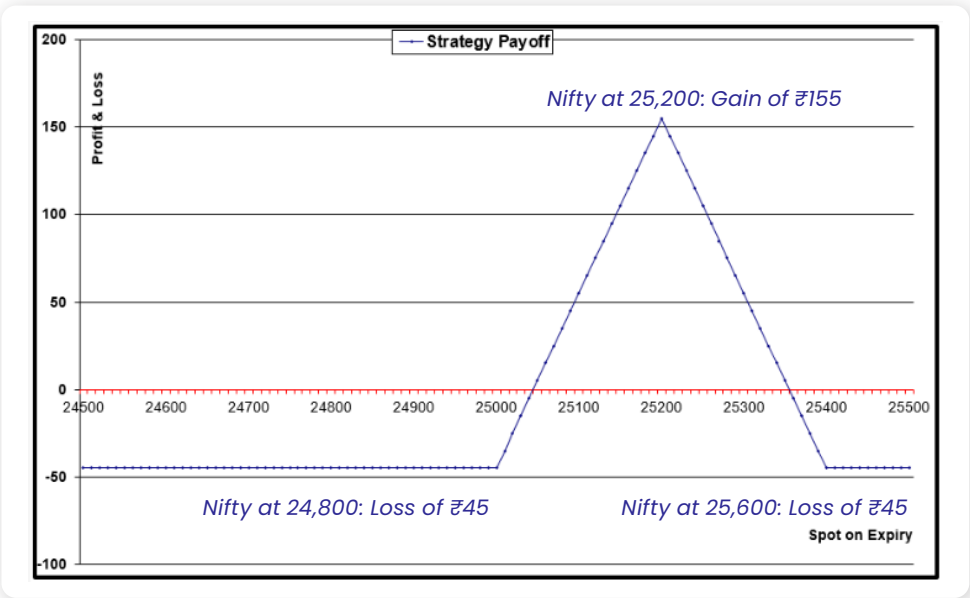


Let us visualise these pay-offs



5.1.2 Bear put butterfly

Now let's check out the bear put butterfly spread.

Here, you will buy one ATM put option, sell two OTM puts, and buy one put that is further OTM. This strategy is applicable when we think the market will move downwards but only slightly. Like the previous strategy, the risk has a cap if the price movement is significant.

1st Leg Buy 1 ATM Put

2nd Leg Sell 2 OTM Puts

3rd Leg Buy 1 far OTM Put

Example:

Suppose you believe that the Nifty will fall slightly. You execute the following strategy.